

Chapter II.

A. 'Plan Problem' and Some Methodological Remarks

In debates on the capitalist state, the areas of greatest contention are generally those which concern political perspectives. On the other hand, studies on the economic role of the state generally adopt one from or another of the mainstream Keynesian approach, instead of utilizing the categories of the labor theory of value (LTV). One reason for the abundance of political and sociologically-oriented studies may be the fact that Marx's writings on the state mostly date from his pre-Capital period. One fundamental characteristic of this period, which lasted up to, say, the Grundrisse (1857), is Marx's initial close association with, and subsequent disassociation from Hegel and the concept of an institutionally-conceived civil society. In this period, Marx basically characterized the state as a political institution of civil society. As I am not explicitly concerned in the present study with the political dimension of the capitalist state, I shall not examine this aspect of Marx's work in any detail. I should point out, however, that I have serious reservations about any modern political analysis of the state which does not take account of the economic concerns of the post-Grundrisse (or the mature) Marx.

Many contemporary studies of the economic role of

the state suffer from a certain confusion on the location of the state within Marxist economic theory, on which dimensions of the state to take into consideration, on which questions to pose and how. This confusion, I feel, results from the failure to resolve the so-called 'plan problem'. Before I proceed to analyze this problem in some detail as it relates to the question of the capitalist state, let us briefly see what the 'plan problem' is.¹

The 'plan problem' is the name given to the debate on the relationship between the various plans and outlines Marx drafted at different times and his actual writings on economic theory. The importance of this debate for those scholars who adopt the Marxist paradigm is obvious. The debate centers on the contents of Marx's various plans and the extent to which Marx's finished and unfinished works (especially Capital) accomplish the tasks set by the plans.

In what follows, I shall attempt to examine differences in Marx's treatment of the state within the context of the 'plan problem'. According to Oakley, Marx's first plan is contained in his draft 'Preface' for the Economic and Philosophic Manuscripts (Paris Manuscripts) (Oakley, 1983, p. 28; Marx and Engels, 1975 p. 232). Since the " 'Preface' indicates that the first work in the evolution of Marx's critical theory was the Deutsch-französische Jahrbücher article "Critique of

"Hegel's Philosophy of Right: Introduction" ", it may be considered that Marx's interest in the state precedes the so-called first plan and goes back to 1843-1844 (Oakley, 1983, p. 29).²

Interestingly enough, the most detailed outline of an analysis of the state prepared by Marx was the earliest one, "written presumably in November 1844" and titled 'Draft Plan for a Work on the Modern State'. The outline is as follows:

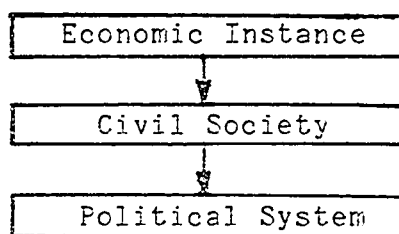
- "1) The history of the origin of the modern state or the French Revolution. The self-conceit of the political sphere - to mistake itself for the ancient state. The attitude of the revolutionaries towards civil society. All elements exist in duplicate form, as civic elements and (those of) the state.
- 2) The proclamation of the rights of man and the constitution of the state. Individual freedom and public authority. Freedom, equality and unity. Sovereignty of the people.
- 3) State and civil society.
- 4) The representative state and the charter. The constitutional representative state, the democratic representative state.
- 5) Division of power. Legislative and executive power.
- 6) Legislative power and the legislative bodies. Political clubs.
- 7) Executive power. Centralization and hierarchy. Centralization and political civilization. Federal system and industrialism. State administration and local government.
- 8) Judicial power and law.
- 8") Nationality and the people.
- 9') The political parties.
- 9") Suffrage, the fight for the abolition of the state and of bourgeois society." (Marx and Engles, 1975, p. 666).³

As can be seen, Marx's emphasis was on the history and politics of the modern state within the perspective of civil society and there was no 'economics' whatsoever.

Nevertheless, it is possible to find some insights concerning Marx's increasing awareness of the role of the economic sphere in dealing with the state even in 1846. Marx's letter to Annenkov, December 28, 1846, is worth quoting since it not only demonstrates Marx's early approach to the analysis of the state but also gives us a basis to compare it with his materialist conception of capitalist society in later years.

"Assume a particular level of development of a man's productive forces and you will get a particular form of commerce and consumption. Assume particular stages of development in production, commerce and consumption and you will have a corresponding social system, a corresponding organization of the family of social estates or of classes in a word, a corresponding civil society. Assume such a civil society and you will get a political system appropriate to it, a system which is only the official expression of civil society. Mr. Proudhon will never understand this because he thinks he is doing something great by appealing from the state to civil society - that is to say, from the official epitome of society to official society."⁴

The duality of civil society and state was no doubt the underlying premise in 1846. Within the process of social determination/interaction, Marx's hierarchical structure of various spheres can be diagrammatically presented as follows:



In a sense, there is an initial formation of the economic base superstructure distinction in the above letter, civil society and state, on the one side, and the economic instance, on the other. In the process of formation of Marx's materialist thought, which presented in its mature form in the preface of A Contribution to the Critique of Political Economy (1854), the distinction between civil society and state was abandoned by Marx. During the 1846-1859 Marx also produced the Grundrisse manuscript for the purposes of self-clarification. Grundrisse, in my opinion, has three plans for his critical theory and all of them refer to the state. Let us discuss them in turn. The first plan, which was written during September, 1857, the most detailed one compared to the other two, includes the state as its third item. The headings in this item are: "Concentration of bourgeois society in the form of the state - viewed in relation to itself. The 'unproductive' classes. Taxes. State debt. Public credit. The population. The colonies. Emigration." (Marx, 1973, p. 108). The second plan in the Grundrisse was written during October, 1857. It contains an item about the state but does not give us any indication in terms of topics Marx was planning to cover. Here, the treatment of the state in terms of its place in the overall plan is still between the analysis of the 'internal structure of production' (or 'inner structure

of bourgeois society') and that of 'international relations' (Marx, 1973, p. 227). The third plan is essentially the same as the first and was written during November, 1857. In a way, this plan can be considered as a modified version of the first, since it treats the state first domestically and then 'the state externally' in the context of the world economy. The section on the state in this plan contains the following elements: 'State and bourgeois society'; 'Taxes or the existence of the unproductive classes'; 'The state debt'; and 'Population' (Marx, 1973, p. 264). In a letter to Lasalle on 22 February, 1858, Marx also mentions his plans for six books comprising his main work, of which the sixth was to be exclusively on the state.

When Marx reached the point where he could formulate the materialist problematic in 1854, we read it in its most concise form in the Contribution:

"The general result at which I arrived and which once won, served as a guiding thread for my studies, can be briefly formulated as follows:
In the social production of their life, men enter into definite relations that are indispensable and independent of their will, relations of production which correspond to a definite stage of development of their material productive forces. The sum total of these relations of production constitutes the economic structure of society, the real basis, on which rises a legal and political superstructure, and to which correspond definite forms of social consciousness. The mode of production of material life conditions the social, political and intellectual life process in general" (Marx, 1969, p. 503).

The above statement clearly distinguishes the economic structure of society, which consist of the

totality of relations of production shaped by the productive forces, from the legal and political structure of society which is itself very crucial for the formation of social consciousness. This seems to me a radical break from the Hegelian problematic in which the distinction between "civil society" and the "state" is the main premise. Instead, Marx's new materialistic formulation now emphasizes the primacy of economics and even in the case of institutions, which are mainly superstructural, the determining relations with economy assume great importance. This methodological change in Marx's conception of capitalist society, accompanied by his remarks on the overall project in economics in the context of changing plans, imply that the treatment of the capitalist state was perceived by Marx increasingly as an economic topic. These guidelines on such a treatment, i.e. mentioning elements such as, 'taxes', 'productive and unproductive labor', 'public debt' and 'public credit', etc., clearly indicate that the need to conceptualize the state's activities by dealing with taxation and various expenditures is the basis of the labor theory of value. This is our starting point in formulating the questions raised in this dissertation in the light of the above methodological position. The questions posed obviously necessitate the classification of state revenues and expenditures which represents our main theoretical and empirical task and is tackled in the following chapters.

B. Literature Review

In this section, first Marxist theories of the capitalist state will be briefly reviewed at a general level for the purpose of situating our analysis within this ongoing debate. Second, among the contributors to this debate, Ian Gough's and Herb Gintis' and Sam Bowles' own positions about theories of the capitalist state will be discussed. The reason for specifically dealing with these latter participants in the debate can be explained on the grounds that the concept of social-wage (citizen-wage in Gintis and Bowles) is central to their approaches to the economic role of the capitalist state (liberal democratic state in Gintis and Bowles). Moreover, since our work also attempts to classify state revenues and expenditures and criticizes the social wage approach (Chapter V), it is useful to see how Gough and Gintis and Bowles situate their problematic in relation to other theories of the capitalist state.

Except for Marx's critical writings on other theories of the state (such as Hegel's), his numerous newspaper articles, and for Engels' studies on the development of the state as an institution, Marx and Engels did not systematically develop a theory of the capitalist state.⁵ After their deaths, the Marxist theory of the state until the 1960's remained confined to general judgments on the state's role as a superstructural institution and the repressive apparatus

of the ruling classes. Beginning with the "Miliband-Poulantzas" debate in the late 1960's, various schools of thought clustering around the concept of the 'relative autonomy of the state'⁶ developed, ranging from the 'capital-logic' school, to O'Connor's 'fiscal crisis' school; these debates are still taking place.⁷

It is possible to derive the concept of 'relative autonomy' from some of Marx's political writings, such as The 18th Brumaire of Louis Bonaparte. However, these are by and large conjectural analyses in which, of necessity, the 'independent' character of the state has not been evaluated in connection with the material base. For this reason, attributing to Marx the concept of the capitalist state with a relative autonomy of undetermined limitations is to misunderstand or neglect his approach of social totality rooted in the determinism of the economy. The following lines written by Marx in 1875, in which he criticizes the concept of 'free state' of the German Workers' Party, is enlightening from the methodological point of view: "...instead of treating existing society... as the basis of the existing state, it [Gotha Programme] treats the state rather as an independent entity that possesses its own intellectual, ethical, and libertarian bases." (McLellan, 1977, p. 564)

Engels' argument on the state was that "its function is to regulate the struggle between

antagonistic classes through repression and concession and thus to moderate class conflict without undermining the continued domination of the ruling class and the reproduction of the dominant mode of production" which was adopted by Lenin in his State and Revolution.⁸ In addition, the idea of the state as a set of institutions may be observed in Lenin's work. In later works of 'official' Marxism-Leninism, however, the dominant motif is the state as a class instrument. Thus, while the concept of the state's relative autonomy is most definitely underplayed or absent in the works of Lenin and his official followers, the fact that the content and limits of the state's economic interventions undertaken on behalf of the bourgeoisie is quite undetermined, is a general shortcoming of the workers of this period.

It is possible to view the discussions on the capitalist state sparked by the Miliband-Poulantzas debate, as centered around their theoretical contribution of 'relative autonomy of the state' and subdivide it into two main schools of thought.

The first school includes the Miliband-Poulantzas problematic, the neo-Ricardian approach, and the 'fiscal crisis of state' approach (which may be considered to be basically Keynesian, a developed form of the economic analysis of the state, extended to include the problem of legitimization).⁹ Of these, the Miliband-Poulantzas